Practice workbook · Social costs and social benefits formulas

The formulas linking private and external costs and benefits to social costs and benefits.

10 question parts: 1 worked-example retry and 9 further practice parts.
Name: _____ Class: _____ Date: _____

Practise one question type at a time. Attempt the part inside the red boundary; the rest of the question and any figures are kept for context. Write your working in the answer space.

The first question is a retry of the website worked example, without its solution. Check your answers online with 'Check my answer', or ask your teacher for the answer booklet.

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Type ID: ECO-T11-21

1. Question 2 · part d · 2 marks

2024 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part d only.

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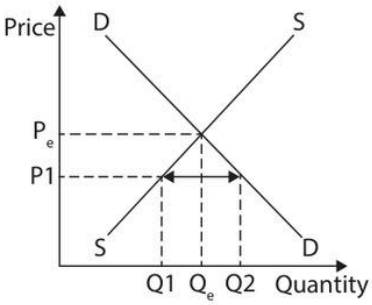
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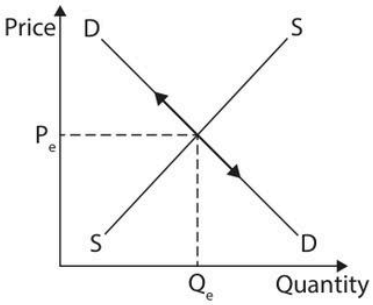
2 (a) Which **one** of the following diagrams shows excess demand?

(1)

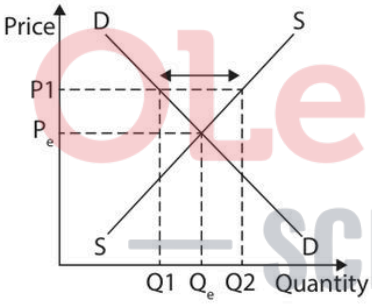
☒ **A**



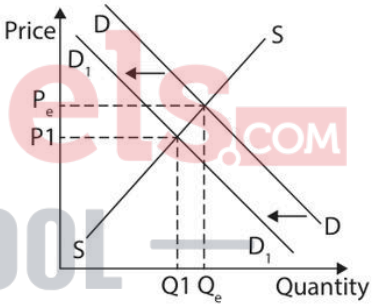
☒ **B**



☒ **C**



☒ **D**



(b) Which **one** of the following is a feature of an oligopoly?

(1)

☒ **A** There is only one firm in the market

☒ **B** Firms always act independently

☒ **C** Different products are sold

☒ **D** No barriers to entry are present

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1. Question 2 · part d · 2 marks

2024 JUN · Paper 01 (regional R)

Worked-example retry · Attempt part d only.

(c) Calculate the **percentage change in quantity supplied** for a product if the price elasticity of supply (PES) is 1.5 and the price increases by 12%. You are advised to show your working.

(2)

(d) What is meant by the term social costs?

(2)

(e) Describe **one** reason why innovation may be more likely to occur in a monopoly.

(2)

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P 7 2 9 6 8 R A 0 8 2 4

1. Question 2 · part d · 2 marks · Working and answer

Working and answer

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2. Question 1 · part d · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part d only.

1 (a) Which **one** of the following is a factor of production?

(1)

- ☒ **A** Land
- ☒ **B** Profit
- ☒ **C** Wages
- ☒ **D** Manufacturing

(b) A firm has total fixed costs of $40 000 per month and variable costs of $150 per unit. If it produces 1,000 units, what are the total costs per month for the firm?

(1)

- ☒ **A** $190 000
- ☒ **B** $150 000
- ☒ **C** $41 150
- ☒ **D** $40 150

(c) What is meant by the term demand?

(2)

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2. Question 1 · part d · 1 mark

2019 JUN · Paper 01

Further practice · Attempt part d only.

(d) State the formula for social costs.

(1)

(e) Define the term tertiary sector.

(1)

Figure 1 shows the costs of production per month for a firm making 2,000 units.

Quantity	Total fixed costs	Total variable costs
2,000	$7 340	$4 760

Figure 1

(f) Calculate the average cost per unit for the firm when it makes 2,000 units. You are advised to show your working.

(2)

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2. Question 1 · part d · 1 mark · Working and answer

Working and answer

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3. Question 2 · part d · 1 mark

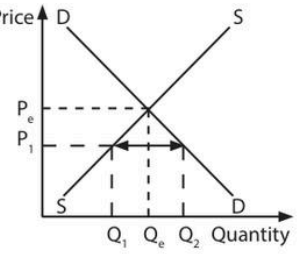
2020 JAN · Paper 01 (regional R)

Further practice · Attempt part d only.

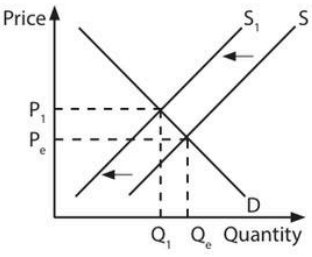
2 (a) Which **one** of the following diagrams shows excess supply?

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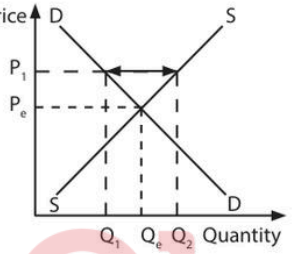
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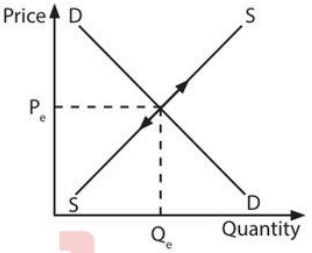
☒ **B**



☒ **C**



☒ **D**



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3. Question 2 · part d · 1 mark

2020 JAN · Paper 01 (regional R)

Further practice · Attempt part d only.

(b) Which **one** of the following is most likely to create a barrier to entry?

(1)

- ☒ **A** Government provides subsidies for new firms
- ☒ **B** Increasing personal incomes in the economy
- ☒ **C** Low start-up costs
- ☒ **D** Use of expensive technology

(c) Calculate the **price elasticity of demand (PED)** for a product if price falls by 10% and quantity demanded increases by 19%. You are advised to show your working.

(2)

(d) State the formula for social benefits.

(1)

(e) Define the term consumer.

(1)

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3. Question 2 · part d · 1 mark · Working and answer

Working and answer

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4. Question 1 · part d · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part d only.

1 (a) Which **one** of the following is a reason why firms may not always maximise their profit?

(1)

- ☒ **A** They may minimise total costs
- ☒ **B** They may be able to sell at a high price
- ☒ **C** They may have low fixed costs
- ☒ **D** They may complete charitable work

A product has an income elasticity of demand (YED) of 0.7.

(b) Which **one** of the following best describes the product?

(1)

- ☒ **A** A public good
- ☒ **B** A normal good
- ☒ **C** A luxury good
- ☒ **D** An inferior good

(c) What is meant by the term productivity?

(2)

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4. Question 1 · part d · 1 mark

2021 NOV · Paper 01

Further practice · Attempt part d only.

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(d) State the formula for calculating social costs.

(1)

(e) Define the term producer.

(1)

A firm has total fixed costs of $50 000 per month and variable costs of $250 per unit. It produces 750 units per month.

(f) Calculate the **total costs per month** for the firm. You are advised to show your working.

(2)

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P 6 5 8 9 7 R A 0 3 2 0

3

Turn over

4. Question 1 · part d · 1 mark · Working and answer

Working and answer

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5. Question 1 · part d · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part d only.

1 (a) Which **one** of the following is a factor of production?

(1)

- ☒ **A** Taxation
- ☒ **B** Gym workout
- ☒ **C** Enterprise
- ☒ **D** Restaurant meal

A firm charges a price of $160 per item and has average costs of $120 per item. It sells 20 000 items.

(b) What is the total revenue for the firm?

(1)

- ☒ **A** $19 200
- ☒ **B** $20 160
- ☒ **C** $2 400 000
- ☒ **D** $3 200 000

(c) What is meant by the term normal good?

(2)

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5. Question 1 · part d · 1 mark

2022 JUN · Paper 01

Further practice · Attempt part d only.

(d) State the formula for social benefits.

(1)

(e) Define the term niche market.

(1)

Greg produces pottery at a small factory in his local area. At the start of the year price increased by 5.4% and quantity supplied increased by 4.7%.

(f) Calculate, to two decimal places, the **price elasticity of supply (PES)** for Greg's pottery. You are advised to show your working.

(2)

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5. Question 1 · part d · 1 mark · Working and answer

Working and answer

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6. Question 2 · part b · 1 mark

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part b only.

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2 The income elasticity of demand (YED) for a product can be calculated by using the information in Figure 3.

Change in quantity demanded	4.6%
Change in income	2%

Figure 3

(a) Which **one** of the following options best describes the demand for the product?

(1)

- ☒ **A** Unitary
- ☒ **B** Luxury
- ☒ **C** Inferior
- ☒ **D** Inelastic

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(b) Which **one** of the following is the formula for social benefits?

(1)

- ☒ **A** Private costs + private benefits
- ☒ **B** Private benefits – private costs
- ☒ **C** Private benefits + external benefits
- ☒ **D** Private costs – external costs

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6. Question 2 · part b · 1 mark

2023 JAN · Paper 01 (regional R)

Further practice · Attempt part b only.

(c) What is meant by the term trade union?

(2)

Figure 4 shows the monthly costs per unit when a firm makes 3,000 units.

Quantity	Total fixed costs	Total variable costs
3,000	$6 200	$3 550

Figure 4

(d) Calculate the **average cost per unit (AC)** for the firm when it makes 3,000 units.
You are advised to show your working.

(2)

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6. Question 2 · part b · 1 mark · Working and answer

Working and answer

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7. Question 3 · part b · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part b only.

3 Income elasticity of demand (YED) for a product is –0.43 and the price elasticity of demand (PED) for the same product is –0.27.

(a) The data above shows that the product is

(1)

- ☒ **A** an inferior good and demand is price inelastic
- ☒ **B** an inferior good and demand is price elastic
- ☒ **C** a normal good and demand is price inelastic
- ☒ **D** a normal good and demand is price elastic

(b) The formula for social benefits is

(1)

- ☒ **A** private costs + private benefits
- ☒ **B** private benefits – private costs
- ☒ **C** private benefits + external benefits
- ☒ **D** private costs – external costs

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7. Question 3 · part b · 1 mark

2023 JUN · Paper 01

Further practice · Attempt part b only.

(c) On the diagram below, draw the effects of a decrease in the retirement age on the labour market in a country. Label the new curve, the new equilibrium wage rate and the new equilibrium quantity of workers employed.

(3)

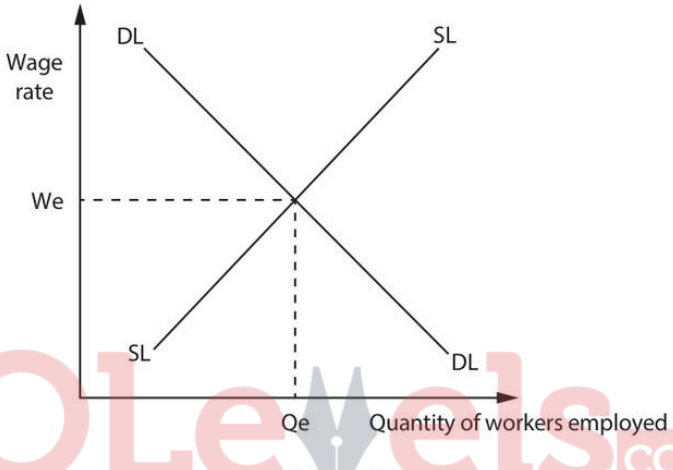


Figure 4

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7. Question 3 · part b · 1 mark · Working and answer

Working and answer

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8. Question 2 · part d · 2 marks

2024 JUN · Paper 01

Further practice · Attempt part d only.

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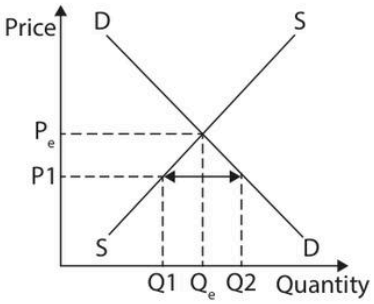
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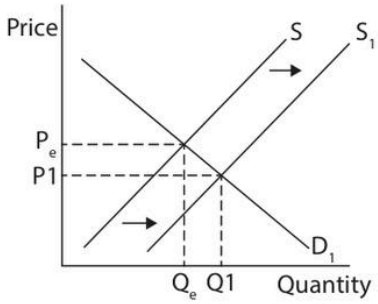
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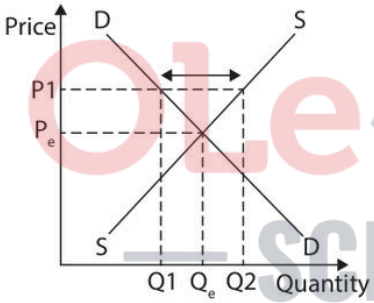
☒ **A**



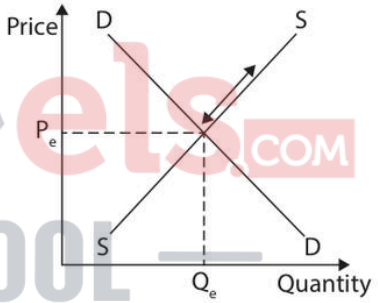
☒ **B**



☒ **C**



☒ **D**



(b) Which **one** of the following is a feature of a monopoly?

(1)

☒ **A** Consumers have a choice of firms

☒ **B** There are many firms competing in the market

☒ **C** The firm is a price-maker

☒ **D** There are low barriers to entry

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8. Question 2 · part d · 2 marks

2024 JUN · Paper 01

Further practice · Attempt part d only.

(c) Calculate the **percentage change in quantity demanded** for a product if the price elasticity of demand (PED) is –1.9 and the price falls by 10%. You are advised to show your working.

(2)

(d) What is meant by the term social benefits?

(2)

(e) Describe **one** feature of an oligopoly.

(2)

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P 7 2 9 6 7 A 0 8 2 4

8. Question 2 · part d · 2 marks · Working and answer

Working and answer

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9. Question 1 · part d · 1 mark

2025 JUN · Paper 01

Further practice · Attempt part d only.

1 When a firm increased its prices, many consumers stopped buying its products.

(a) Which **one** of the following explains the behaviour of these consumers?

(1)

- ☒ **A** Consumers aim to maximise profit
- ☒ **B** Consumers aim to maximise benefits
- ☒ **C** Consumers have habits that are hard to give up
- ☒ **D** Consumers cannot calculate their benefits

A product has an income elasticity of demand (YED) of –0.9

(b) Which **one** of the following best describes the product?

(1)

- ☒ **A** A public good
- ☒ **B** A normal good
- ☒ **C** A luxury good
- ☒ **D** An inferior good

(c) What is meant by the term productivity?

(2)

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9. Question 1 · part d · 1 mark

2025 JUN · Paper 01

Further practice · Attempt part d only.

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(d) State the formula for social costs.

(1)

(e) Define the term producer.

(1)

A firm has total fixed costs of €37 000 per month and variable costs of €170 per unit.
It produces 650 units per month.

(f) Calculate the **total costs per month** for the firm. You are advised to show your working.

(2)

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9. Question 1 · part d · 1 mark · Working and answer

Working and answer

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10. Question 1 · part d · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part d only.

1 (a) In which sector of the economy is house building?

(1)

- ☒ **A** Service
- ☒ **B** Primary
- ☒ **C** Secondary
- ☒ **D** Tertiary

A firm produces goods that are made from wood.

(b) Wood is an example of which **one** of the following factors of production?

(1)

- ☒ **A** Capital
- ☒ **B** Enterprise
- ☒ **C** Labour
- ☒ **D** Land

(c) What is meant by the term total costs?

(2)

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10. Question 1 · part d · 1 mark

2025 NOV · Paper 01

Further practice · Attempt part d only.

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(d) State the formula for social benefits.

(1)

(e) Define the term substitute good.

(1)

A manufacturer produced 1,350 pairs of designer sunglasses in March and sold these products in its shops in Milan, Paris and London.

Location	Quantity of sunglasses demanded
Milan	639
Paris	715
London	516

Figure 1

(f) Calculate the **excess demand** in March for the sunglasses. You are advised to show your working.

(2)

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10. Question 1 · part d · 1 mark · Working and answer

Working and answer

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